

August 15, 2025

Subject: Management's Discussion and Analysis of the consolidated financial statements for the second quarter ("2Q25") and six-month period ended 30 June 2025

To: Directors and Managers
The Stock Exchange of Thailand

 Management's discussion and analysis of financial statement for 2Q25 ended 30 June 2025

Chularat Hospital Public Company Limited ("the Company") reported the operating performance for the 2Q25 as follows:

Statement of comprehensive income	2Q25	2Q24	Increase (Decrease)	Change (%)
Unit : Million Baht				
Revenues from hospital operations	2,012.1	1,985.5	26.6	1%
Other revenues	12.7	70.3	(57.6)	(82%)
Total revenues	2,024.8	2,055.7	(30.9)	(2%)
Cost of hospital operations	1,464.4	1,531.9	(67.5)	(4%)
Administrative expenses	281.0	267.1	13.9	5%
Net Profit of the Company	207.6	192.3	15.3	8%
<i>Earnings per share (Baht/share)</i>	<i>0.0189</i>	<i>0.0175</i>		
<i>Gross Profit Margin (%)</i>	<i>27.22%</i>	<i>22.85%</i>		
<i>Net Profit Margin (%)</i>	<i>10%</i>	<i>9%</i>		

The Company's net profit was Baht 207.6 million for 2Q25, increasing by Baht 15.3 million, or 8% YoY. Net profit margin increased from 9% to 10%. Overview of operating results was discussed as below.

 Revenues from hospital operations

In 2Q25, the Company has revenues from hospital operations of Baht 2,012.1 million, increasing by Baht 26.6 million, or 1% YoY, driven by the increasing revenue from general patients and the Universal Health Coverage Scheme (NHSO).

Revenue from general patients in 2Q25 increased by 3% YoY, primarily driven by growth in the outpatient (OPD) segment, which rose by Baht 35 million, while inpatient revenue remained stable compared to the same period last year. Revenue across all branches continued to expand, particularly revenue from international patients. However, certain medical services experienced a slowdown, particularly bariatric surgery.

Revenue from Social Security scheme in 2Q25 decreased by 5% YoY, mainly due to the negative impact of lower-than-expected settlements for medical treatment for 26 chronic diseases for 2024 and a revised estimate for 2025. In addition, revenue from severe diseases (Adj.RW $\geq$ 2) declined, particularly in bariatric surgery.

Revenue from other governmental scheme in 2Q25 increased by 29% YoY, supported by the increased revenue from services under UCEP program (Universal Coverage for Emergency Patients or Life-threatening Emergency Illness), as well as and cardiac treatment services.

Other revenue in 2Q25 decreased by Baht 57.6 million from the termination of hospital management service contract with the government hospital.

Unit: Million Baht	2Q25	2Q24	Increase (Decrease)	Change (%)
Revenue from general patients	1,355.8	1,321.6	34.2	3%
Revenue from outpatients (OPD)	654.2	619.6	34.6	6%
Revenue from inpatients (IPD)	701.6	702.0	(0.4)	0%
Revenue from government welfare programs	656.3	663.9	(7.6)	(1%)
Social security schemes	553.7	584.1	(30.4)	(5%)
Other governmental schemes	102.6	79.8	22.8	29%
Total revenue from hospital operations	2,012.1	1,985.5	26.6	1%

❖ Hospital operating expenses

In 2Q25, the termination of the Pattaya City Hospital Project was a key factor contributing to a significant reduction in personnel costs, both in headcount and related expenses, while also allowing for the direct elimination of certain fixed costs. In addition, the Company implemented effective cost management in medical treatment services, resulting in a total cost reduction of Baht 67.5 million. This was achieved through optimizing the procurement process for drugs and medical supplies to maximize cost efficiency, alongside controlling medical service expenses such as professional fees and medical equipment costs in line with appropriate treatment activity levels. These cost reductions played a significant role in improving the gross profit margin and strengthening the Company's long-term profitability.

❖ Administrative expenses

In 2Q25, administrative expenses increased by approximately Baht 13.9 million compared to the same period in 2024, primarily driven by several key factors, including wage adjustments to retain and attract high-quality personnel, a critical element in maintaining operational efficiency and service quality.

Additionally, the Company expanded its marketing budget to promote and support revenue growth from new patients and target segments. General expenses, such as utilities, office rentals, and other operational costs, also increased in line with the expansion of activities and services.

Management's discussion and analysis of financial statement for the six-month period ended 30 June 2025

Chularat Hospital Public Company Limited ("the Company") reported the operating performance for the 6M25 as follows:

Statement of comprehensive income	6M25	6M24	Increase (Decrease)	Change (%)
Unit : Million Baht				
Revenues from hospital operations	3,999.7	4,006.7	(7.0)	(0%)
Other revenues	43.0	155.6	(112.6)	(72%)
Total revenues	4,042.6	4,162.3	(119.7)	(3%)
Cost of hospital operations	2,902.6	3,006.9	(104.3)	(3%)
Administrative expenses	558.0	549.4	8.6	2%
Net Profit of the Company	433.0	456.2	(23.2)	(5%)
<i>Earnings per share (Baht/share)</i>	<i>0.0394</i>	<i>0.0415</i>		
<i>Gross Profit Margin (%)</i>	<i>27.43%</i>	<i>24.95%</i>		
<i>Net Profit Margin (%)</i>	<i>11%</i>	<i>11%</i>		

The Company's net profit was Baht 433.0 million for 6M25, decreasing by Baht 23.2 million, or 5% compared to 6M24. Net profit margin was maintained at 11%. Overview of operating results was discussed as below.

Revenues from hospital operations

In 6M25, the Company has revenues from hospital operations of Baht 3,999.7 million, decreasing by Baht 7.0 million, or 0.2% YoY.

Revenue from general patients for the first half of 2025 increased by 1% YoY, driven by continued expansion in hospital services. Although revenue from bariatric surgery declined, income from cancer treatment, elderly care, and other specialized medical centers increased significantly. Growth in high-value medical services, such as the cancer and elderly care centers, helped offset slowdowns in certain segments, resulting in the hospital's revenue remaining on a steady growth trajectory.

Revenue from Social Security scheme in 6M25 decreased by 4% YoY, primarily due to the negative impact of lower-than-expected settlements for medical treatment for 26 chronic diseases for 2024 and a

revised estimate for 2025. Revenue from severe diseases cases (Adj.RW_{≥2}) also decreased, particularly in bariatric surgery.

Revenue from other governmental scheme in 6M25 increased by 19% YoY, driven by higher income from emergency services under the UCEP program, as well as expanded cancer and cardiac treatment services.

Other revenue for the first half of 2025 decreased by Baht 112.6 million, due to the termination of hospital management service contract with government hospital.

Unit: Million Baht	6M25	6M24	Increase (Decrease)	Change (%)
Revenue from general patients	2,648.2	2,634.1	14.1	1%
Revenue from outpatients (OPD)	1,277.9	1,242.2	35.7	3%
Revenue from inpatients (IPD)	1,370.3	1,391.9	(21.6)	(2%)
Revenue from government welfare programs	1,351.5	1,372.6	(21.1)	(2%)
Social security schemes	1,158.5	1,210.1	(51.6)	(4%)
Other governmental schemes	193.0	162.5	30.5	19%
Total revenue from hospital operations	3,999.7	4,006.7	(7.0)	0%

❖ Hospital operating expenses

For the first half of 2025, the hospital operating expenses decreased by Baht 104.3 million, or 3% YoY, primarily due to the termination of the Pattaya City Hospital Project. The Company also implemented systematic cost management across all departments, including negotiating appropriate pricing for drugs and medical supplies, optimizing procurement and inventory management processes, and aligning staffing schedules with patient volume and demand. These measures ensured maximum cost efficiency while maintaining quality of care.

❖ Administrative expenses

Administrative expenses for the first half of 2025 increased by Baht 8.6 million, or 2% YoY, driven by several key factors. Wage adjustments were made to retain and attract high-quality personnel, a strategic initiative to strengthen the team's capacity to support business expansion. Additionally, other expenses increased in line with growth, including higher marketing costs to promote revenue generation and expand the patient base, as well as general administrative costs such as utilities, maintenance, and other operational support expenses.

Statement of financial position	30 June	31 December	Increase	Change
Unit : Million Baht	2025	2024	(Decrease)	(%)
Total assets	10,225	10,386	(161)	(2%)
Total liabilities	2,205	2,256	(51)	(2%)
Shareholders' equity	8,020	8,130	(110)	(1%)
Debt to equity ratio (x)	0.27	0.28		

As of June 30, 2025, the Company has **total assets** of Baht 10,225 million, decreased by Baht 161 million from December 31, 2024, primarily due to

- Cash and cash equivalent decreased by Baht 101 million from the Company's operation, as reported in the cash flow statement.
- Accrued medical treatment income decreased by Baht 51 million from the increased revenue and the payment schedule.
- Property, plant and equipment increased by Baht 71 million from the purchase of medical equipment and renovation plans to expand and improve existing medical facilities.

Total liabilities amounting to Baht 2,205 million as of June 30, 2025, decreasing by Baht 51 million from December 31, 2024, as described below.

- Trade and other payables increased by Baht 31 million.
- Long-term loans from financial institutions decreased by Baht 50 million from loan repayment according to loan repayment schedule.
- Other current liabilities decreased by Baht 34 million.

Total shareholders' equity amounting to Baht 8,020 million as of June 30, 2025, decreasing by Baht 110 million from December 31, 2024 is in line with the operating result of the Company.

Debt to equity ratio (DE Ratio) is 0.27, which reflects the ability to loan from financial institution for business expansion and in line with the Company's strategy.

Cash Flow Statement	6M25	6M24	Change
Unit : Million Baht			
Net cash from operating activities	713.9	799.6	(85.7)
Net cash used in investing activities	(274.0)	(275.3)	1.35
Net cash used in financing activities	(631.2)	(579.3)	(51.9)
Net increase (decrease) in cash and cash equivalents	(191.3)	(55.0)	(136.3)
Cash and cash equivalents at beginning of period	1,691.7	1,399.4	292.29
Cash and cash equivalents at end of period	1,500.4	1,344.4	156.04

For the first half of 2025, the Company's Net cash from operating activities amounting to Baht 713.9 million, down from THB 799.6 million in the same period of 2024. The decrease was mainly due to lower operating profit before changes in operating assets and liabilities.

Net cash used in investing activities amounted to Baht 274.0 million, nearly unchanged from Baht 275.3 million in the same period last year. The outflows primarily related to advance payments for building construction and medical equipment, as well as expenditures on land, buildings, and equipment to support the Company's expansion and enhance service capabilities.

Net cash used in financing activities amounted to Baht 631.2 million, compared to Baht 579.3 million in the first half of 2024. The increase was primarily due to higher repayments of long-term loans, while no additional borrowings were obtained from financial institutions during the period. In addition, the Company paid dividends to shareholders as part of its ongoing capital management and commitment to delivering returns to shareholders.

Please be informed accordingly.

Yours faithfully,

(Mr.Kriengsak Plussind)

Chairman of the Board